

ROSS CAMERON
MOMENTUM DAY TRADING
STRATEGY PLAYBOOK

Complete Trading Methodology Synthesized from 75+ Video Transcripts

Prepared for: App Development & Personal Mastery Reference

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1. EXECUTIVE SUMMARY

This document synthesizes Ross Cameron's complete day trading methodology from 75+ YouTube training videos into a single actionable reference. The strategy is built around identifying high-momentum, low-float stocks early in the trading day, entering on predictable micro-pullback patterns, managing risk with strict rules, and scaling out profits systematically.

The Core Philosophy

Day trading is a business, not gambling. Success requires consistent process execution, disciplined risk management, and the patience to trade only the best setups. Ross's approach centers on "base hits" (many small, consistent wins of \$200-\$400) rather than home runs. His data shows that base hit trades (\$0-\$4,000 winners) accounted for 100% of his net profit over a 10-month period, while home runs and large losers roughly canceled each other out.

2. THE 5 PILLARS: STOCK SELECTION CRITERIA

These five criteria must be met SIMULTANEOUSLY for a stock to be tradeable. All five are non-negotiable. This is the single most repeated concept across all 75+ videos.

Pillar 1: Price Range (\$2-\$20)

Sweet spot: \$5-\$15. Stocks under \$2 have dangerously wide bid-ask spreads and low liquidity. Stocks over \$20 have smaller percentage moves and require more capital for the same reward. The \$5-\$15 range offers the best combination of volatility, liquidity, and manageable spreads. For scalping, Ross sometimes trades as low as \$1, but only with extremely high relative volume.

Pillar 2: Up 10%+ on the Day

The stock must already be gapping up or running at least 10% from the prior close. Ideal range is 15-30%. This momentum proves institutional buying interest and creates the conditions for continuation moves. Stocks up less than 10% rarely produce the follow-through needed for the micro-pullback strategy.

Pillar 3: Relative Volume (5x-10x+ Average)

Minimum 5x relative volume (current volume divided by 14-day average volume). Strong setups have 10x+ relative volume. This is the single best indicator of whether a stock has enough participation to sustain a move. Light volume on pullback candles (relative to the up candles) confirms that selling pressure is weak and buyers are still in control.

Pillar 4: Float Under 20 Million Shares

Aggressive target: under 10 million shares. Very strong setups: under 5 million shares. Lower float means fewer shares available to trade, which means the stock "floats" higher more easily when demand increases. Low float + high volume = explosive moves. Stocks with 100M+ float are too thick for this strategy; they don't move enough.

Pillar 5: News Catalyst

The stock MUST have a reason for moving. Common catalysts: earnings beat, FDA approval, contract announcement, short squeeze setup, sector rotation. Without a catalyst, a stock moving on volume alone is unreliable. You need to understand WHY the stock is moving before entering. News often drops at predictable times: 8:00, 8:30, or 9:00 AM EST.

3. SCANNER CONFIGURATION

Use a real-time stock scanner (Trade Ideas, Finviz, or your broker's scanner) with these exact filters:

Filter	Setting	Notes
Price	\$2.00 - \$20.00	Sweet spot: \$5-\$15
% Change	> 10%	From prior close
Relative Volume	> 5x	vs 14-day average; 10x+ preferred
Float	< 20M shares	< 10M preferred
Volume	> 500,000 shares	Minimum for liquidity
Market Cap	< \$500M	Small/micro-cap territory
News	Has catalyst	Check news feed after scanner hit

Run the scanner starting at 7:00 AM EST (pre-market). Stocks that hit all filters go on your watchlist. Typically you'll have 2-5 candidates on any given day. Some days there are zero candidates, and that's fine: no trade is better than a bad trade.

4. CHART SETUP: TIMEFRAMES & INDICATORS

Timeframes

1-minute chart: Primary chart for day trading and scalping. Most entries and exits are made on the 1-minute chart. When a stock is moving fast, the 1-minute chart shows the earliest entry signals.

5-minute chart: Used equally as the 1-minute chart. Same patterns (bull flags, ABCD) work on both timeframes. The 5-minute chart filters out noise and shows cleaner patterns. Use it for confirmation when the 1-minute is choppy.

Daily chart: Used to check the 200 EMA (exponential moving average). If the stock is approaching the 200 EMA on the daily chart, that's strong overhead resistance. Be cautious.

Indicators

Indicator	Setting	Purpose
9 EMA	Exponential, all timeframes	Pullback reference. Price holding above 9 EMA = strength.
20 EMA	Exponential, intraday	Trend indicator. Price below 20 EMA = trend weakening.
200 EMA	Exponential, daily chart	Major resistance. Approaching 200 EMA = caution.
VWAP	Volume Weighted Avg Price	Reference for dip buys. Below VWAP = bearish signal.
Volume Bars	Standard	Compare pullback volume to up-move volume.

Ross also references the MACD for dip buying: when the MACD line is above the signal line (MACD is "open"), dips are buyable. When MACD crosses below the signal line, the stock is in consolidation and dips should be avoided.

5. ENTRY PATTERNS (DETAILED)

Pattern 1: Bull Flag (Most Common)

The bull flag is Ross's bread-and-butter pattern. It appears on 1-minute and 5-minute charts.

Structure:

- Flagpole: 1-3 strong green candles on high volume moving the stock up sharply.
- Flag: 2-3 red/doji candles pulling back on LIGHT volume (lighter than the flagpole candles).
- Breakout: First candle to exceed the high of the flag/consolidation range.

Key Rules:

- The pullback should NOT retrace more than 50% of the flagpole. Ideally, it stays in the top 25% of the range.
- Volume MUST be lighter on the pullback candles than on the flagpole candles.
- Entry: The moment the candle breaks the high of the consolidation range, to the penny.
- Stop: Low of the pullback candle(s).
- Profit target: Retest of high of day first, then continuation for additional profit.

Pattern 2: Flat Top Breakout

Price consolidates at a resistance level with 2-3 touches of the same price (creating a "flat top"). Common at whole-dollar and half-dollar levels (\$5.00, \$5.50, \$6.00). Entry is when price breaks through the resistance level with a spike in volume. Stop is below the low of the consolidation range.

Pattern 3: ABCD Pattern

Typically spans 7-9 candles on the 1-minute chart.

Legs:

- A-to-B: Initial rally up (multiple green candles on volume).
- B: First pullback (1-2 red candles on light volume). This forms the first bull flag.
- B-to-C: Second leg up (first candle to make new high after the B pullback).
- C-to-D: Second pullback. CRITICAL: D must NOT break below the low of B. If it does, the pattern is broken.
- Entry: Breakout from D when first candle exceeds the C high.

Pattern 4: Dip Buy (3 Tricks)

Ross's 3 tricks for successful dip buying:

Trick 1 - Volume Profile: Check that the pullback has light volume (red candles with small volume bars). If the red candles have high volume, sellers are in control and the dip is not buyable.

Trick 2 - Price Above 9 EMA: The stock must stay at or above the 9 EMA on the 1-minute chart during the dip. If it breaks below the 9 EMA, the pullback is too deep. Wait for it to reclaim the 9 EMA before buying.

Trick 3 - MACD Above Signal Line: The MACD must be "open" (MACD line above the signal line). When MACD crosses below the signal line, the stock is in a consolidation/choppy zone. Skip it.

Dip buy entry: Use a starter position (1,000 shares) on the bounce off support. Add on the first candle to make a new high. Add again if high of day breaks. Stop: Low of the pullback. Typical risk: 5-10 cents per share. Target: 10-20 cents (2:1).

Pattern 5: Micro Pullback / First Candle to New High

The simplest and most reliable pattern. Stock is trending up. It pauses for 1-2 candles (the "micro pullback"). The first green candle that breaks the prior high = entry. This is what Ross uses for scalping: enter on the break, take 15-25 cents profit, repeat.

6. ENTRY MECHANICS: HOW TO PULL THE TRIGGER

When Exactly to Enter

Enter on the BREAK of the high of the pullback candle. Do NOT wait for the candle to close. The moment the price exceeds the prior high by even one penny, that is the entry signal. Example: If the pullback low was \$5.38 and the prior high was \$5.50, entry is at \$5.50 to the penny.

Order Type

Ross uses LIMIT ORDERS, not market orders. He places limit orders at the ask price with a small slippage allowance (10-15 cents above ask for fast-moving stocks). He never uses market orders because they can fill at wildly different prices on volatile stocks. Pre-market and after-hours: limit orders are the ONLY option available.

Order Routing

Ross uses direct-access routing (ARCA, NASDAQ, or EDGE) rather than "smart routing." Smart routing lets your broker choose the route, which may not be the fastest. Direct access ensures the fastest fills, which matters on fast-moving momentum stocks.

Execution Speed

Ross uses hotkeys for instant execution. He does NOT click through order entry dialogs. Typical hotkeys: Shift+1 = Buy at Ask, Control+Z = Sell full position at Bid, Control+X = Sell half position. Speed is critical because these stocks move fast; a 2-second delay can mean missing the entry or getting a worse price.

Confirmation Before Entry

Before pressing the buy hotkey, confirm:

- Stock passes all 5 Pillars.
- Pullback volume is lighter than the preceding up candles.
- At least 2 green candles preceded the pullback (established uptrend).
- Time is within prime window (ideally 9:30-11:30 AM EST).
- Level 2 shows no massive seller blocking the breakout.
- Time & Sales shows green prints (buyers hitting the ask).
- Spread is tight (under 10-15 cents). Wide spreads = skip.

7. STOP LOSS RULES (THE 5 RULES FOR SELLING LOSERS)

How to Set Your Stop

Primary method: Stop at the low of the pullback candle(s). This is the price level where the pattern is invalidated. If price drops below the pullback low, the setup has failed.

Ross uses a hotkey (Control+S) to automatically set a stop 10 cents below his entry the moment he enters a trade. This ensures he never "forgets" to set a stop. On some setups, he tightens to 8 cents if the spread allows it.

For scalping: Use an arbitrary 10-15 cent stop. If the stock doesn't move in your direction immediately after entry, you timed it wrong. Cut fast.

Ross's 5 Rules for Selling Losers Faster

Rule 1: Daily Max Loss

Set a specific dollar amount as your max loss for the day. When you hit it, STOP TRADING. Ross's max daily loss = \$5,000 (same as his daily profit goal). For a \$5,000 account, this might be \$500. The number should equal your daily goal.

Rule 2: Green to Red Rule

If your account goes from green (profitable on the day) to red (losing on the day), close all positions and WALK AWAY. Do not try to make it back. This single rule prevents the cascading revenge-trade losses that blow up accounts.

Rule 3: Give Back Half Rule

If you hit your daily goal and then give back more than half of it, walk away immediately. Example: If your goal is \$500 and you're up \$600 but then drop to \$250, stop trading. Protect what you've earned.

Rule 4: Quality Stocks Only (A+ Setups)

Only trade stocks that meet ALL 5 Pillars. No exceptions. The moment you start trading "B-quality" setups because nothing good is available, you start losing. "Trade best, leave the rest."

Rule 5: Trade Less

Quality over quantity. Fewer trades per day with higher conviction. Overtrading leads to commission drag, emotional fatigue, and poor decisions. 2-4 high-quality trades per day is better than 10-15 mediocre ones.

Additional Stop Rules

- Move stop to breakeven once you have 2:1 profit on your first partial exit.
- If impulse to bail hits, sell HALF your position instead of all. This keeps you in the trade if it recovers.
- After 3 consecutive losses: reduce share size for the next few trades.
- Never hold a losing trade hoping it will bounce back. Cut it and move on.

8. PROFIT TAKING & EXIT STRATEGY

Minimum Risk/Reward: 2:1

Before entering any trade, the potential profit must be at least 2x the risk. Example: If your stop is 10 cents below entry (risk = \$100 on 1,000 shares), the target must be at least 20 cents above entry (\$200 profit). This creates a positive expectancy even with a 50% win rate.

Scaling Out (Partial Exits)

Do NOT sell your entire position at once. Ross's approach:

- Sell 50% at the first profit target (typically 2:1 risk/reward, or at the retest of high of day).
- Move stop to breakeven on the remaining 50%.
- Let the remaining shares run toward 3:1 or the next resistance level.
- On dip buys: scale IN (starter position, add on first new high, add on high-of-day break), then scale OUT in thirds at resistance levels.

Exit Signals (Get Out Now)

- First candle to make a new LOW after your entry (reversal signal).
- Green candles getting progressively smaller (trend exhaustion / diminishing momentum).
- Topping tail candle (long upper wick, small body) forming at resistance.
- Doji candle at the top (indecision, often precedes reversal).
- Large seller appears on Level 2 that wasn't there before.
- Volume dries up and tape slows down.
- Price crosses below the 20 EMA on the 1-minute chart.
- You hit your daily profit goal (protect it).

Base Hit Targets (Scalping)

For scalping: Target 15-25 cents per share profit. Average winner: ~15 cents. Average loser: ~10-12 cents. On 1,000 shares, a base hit = \$150-\$250 profit. Ross's data shows that trades between \$0-\$4,000 profit accounted for 100% of his net profit over 10 months (\$354,000), while home runs and big losers canceled out.

9. RISK MANAGEMENT & POSITION SIZING

Position Sizing Formula

Position Size (shares) = Max Loss Per Trade / Stop Loss Distance

Example: Max loss per trade = \$200. Stop is 10 cents below entry. Shares = $\$200 / \$0.10 = 2,000$ shares.

Your max loss per trade should be 2-3% of your account. On a \$10,000 account, that's \$200-\$300 max risk per trade.

Daily Risk Limits

Account Size	Max Loss Per Trade (2-3%)	Daily Max Loss
\$3,000	\$60-\$90	\$200-\$300
\$5,000	\$100-\$150	\$300-\$500
\$10,000	\$200-\$300	\$500-\$1,000
\$25,000+	\$500-\$750	\$1,000-\$2,500

Sizing Down on Losing Streaks

After 3 consecutive losses, reduce position size by 50%. This prevents a bad streak from destroying your account. Trade smaller, rebuild confidence with small wins, then gradually size back up. Ross caps himself at 5,000 shares until he makes his first \$1,000 of the day, then increases from there.

The 10% Drawdown Rule

Never let your account draw down more than 10% from its peak. If you hit 10% drawdown, go to minimum share sizes and focus purely on rebuilding. A 10% drawdown requires an 11% gain to recover; a 50% drawdown requires 100% to recover. Protect capital.

10. LEVEL 2 & TIME AND SALES

Level 2 Basics

Level 2 shows the full order book: all buy orders (bids) on the left, all sell orders (asks) on the right. Share sizes are abbreviated: "28" = 2,800 shares, "2" = 200 shares. This tells you where large buyers and sellers are positioned BEFORE price gets there.

How to Read It

Large Seller on the Ask (50,000+ shares): This is a "wall" of resistance. Price will struggle to break through. When Ross sees a 100,000+ share seller, he exits immediately. "We're not going to be able to break through that level." Exception: if you see it being actively bought (shares decreasing), the wall may break.

Large Buyer on the Bid (20,000+ shares): This is strong support. Someone is "propping up" the stock. Ross treats large buyers (87,000+ shares) as a BUY signal because they indicate the stock has a floor and likely goes higher. He has bought immediately upon seeing massive bid support.

Spread Width: Avoid stocks with spreads wider than 10-15 cents. A wide spread (20-50 cents) means you're underwater the moment you buy. Example: buy at ask of \$4.92, bid is \$4.62 = you're down 30 cents instantly before any price movement.

Time & Sales (The Tape)

The tape shows every executed transaction in real-time: price, size, and exchange.

Green prints: Buyer-initiated (bought at the ask). Clusters of large green prints (2,000-10,000 shares) = momentum. Ross says: "As soon as I see that green on the tape, boom, I'm jumping in."

Red prints: Seller-initiated (sold at the bid). Clusters of red prints = selling pressure. Exit signal.

Speed: Rapid-fire orders = high momentum. Slow tape = consolidation, not tradeable. A fast tape with green prints is the best entry confirmation you can get.

Level 2 + Chart Confirmation

NEVER trade on Level 2 alone or chart alone. Use BOTH to confirm. Chart shows good bull flag pattern BUT Level 2 shows a 100,000-share seller = SKIP the trade. Chart shows breakout AND Level 2 shows buyers stacking up = TAKE the trade.

11. PRE-MARKET TRADING STRATEGY

Timeline

Pre-market opens at 4:00 AM EST but most retail brokers allow trading starting at 7:00 AM. Ross sits down at 6:30 AM to prepare. The most active pre-market period is 7:00-9:30 AM. Volume typically surges around 7:00 AM as retail traders come online.

What to Watch For

- Scan for stocks gapping up in pre-market that meet the 5 Pillars.
- Check news releases (commonly at 8:00, 8:30, or 9:00 AM).
- Pull up Level 2 on candidates: big buyers on bid = good. Big sellers on ask = skip.
- Watch for the "micro pullback" setup forming in pre-market.

Pre-Market Trading Rules

- Use ONLY limit orders. Market orders and stop orders are rejected pre-market.
- Buy at the ASK (not sitting on the bid). Pre-market stocks move fast; waiting on the bid = missing the move.
- Position sizes can be the same as regular hours, but be aware of wider spreads.
- Be prepared for the 9:30 AM flush: at market open, all overnight "good-til-cancel" sell orders execute at once, often causing a sharp dip.

The 9:30 AM Flush

At exactly 9:30 AM, all good-til-cancel orders from overnight traders go live simultaneously. This often creates a sudden drop even in stocks that were strong pre-market. Example: Stock trading \$3.50 pre-market, overnight sell orders set at \$3.25 execute, causing a dip. Ross often exits positions right at the open if he's already in profit, then re-enters on the dip.

12. TIME OF DAY & MARKET CONDITIONS

Prime Trading Windows

Time (EST)	Activity	Ross's Approach
7:00-9:30 AM	Pre-market (scanners active)	Watch and selectively trade gappers
9:30-10:30 AM	PEAK (highest volume/volatility)	Most aggressive trading; best setups
10:30 AM-12:00 PM	Good but declining	Trade selectively; reduce size
12:00-4:00 PM	Midday lull; choppy	Generally STOP trading; setups unreliable

Ross trades primarily in the 7:00 AM - 11:00 AM window and avoids the afternoon session. Most of his profit comes from the first 2 hours after the bell.

Market Temperature

"Hot" market (many stocks moving 50-100%+): Reduce position size but trade dips more aggressively. The opportunities are larger but so is the volatility. Use smaller shares to account for wider swings.

"Cold" market (few movers): Be very selective. Only trade the absolute best setups. Breakout confirmation is more important in a cold market. Reduce trade frequency.

13. TRADING PSYCHOLOGY

Core Mental Rules

Discipline Over Emotion: Follow your rules even when uncomfortable. The rules exist to protect you from yourself. Your best trading days will feel boring because you're executing mechanically.

No Revenge Trading: After a loss, the impulse to "make it back" is overwhelming and almost always leads to bigger losses. Take a 10-minute break minimum. Better yet, stop for the day.

Accept Losses as Tuition: Every loss is a lesson. Journal it. What went wrong? Did you break a rule? Was the setup valid but it just didn't work? Valid losses on good setups are fine. Losses from rule violations are not.

Track Every Trade: Log entry price, exit price, P&L, pattern type, time, and emotional state. Data reveals patterns in your behavior that you can't see in real-time. Ross's base hit discovery came from analyzing his own trade data.

Process Over Results: A losing trade on a good setup is a GOOD trade. A winning trade on a bad setup is a BAD trade. Focus on executing the process correctly. Profits follow good process over time.

Simulator First: Paper trade for 2-4 weeks minimum before risking real money. Prove to yourself that the strategy works before adding the emotional pressure of real money. You should be consistently profitable in sim before going live.

Common Psychological Traps

- **FOMO (Fear of Missing Out):** Buying at the top because the stock already moved 50%. The best entries are on pullbacks, not chases.
- **Anchoring to the High:** "It was at \$48, it'll come back." No, it might not. Trade what's in front of you.
- **Overconfidence after a big win:** Increasing size because you feel invincible. This is when the biggest losses happen.
- **Loss aversion:** Holding losers too long because selling means admitting you were wrong. The market doesn't care about your feelings.
- **Revenge trading:** "I'll make it back on the next trade." This is how \$500 losses become \$2,000 losses.

14. TOOLS, PLATFORMS & HOTKEYS

Scanners

Trade Ideas: Most powerful real-time scanner. Supports all 5 Pillar filters plus AI-assisted alerts. This is what Ross uses primarily. Finviz Elite is a good alternative for pre-market scans.

Execution Platforms

DAS Trader Pro or Lightspeed Trader for serious day traders (direct-access routing, low latency). TD Ameritrade thinkorswim is acceptable for beginners. Interactive Brokers is reliable with wide asset coverage. WeBull offers free Level 2 and commission-free trading for new traders.

Hotkey Setup (Example)

Hotkey	Action
Shift+1	Buy at Ask (+ 15 cent slippage allowance)
Shift+2	Buy at Ask (standard)
Control+S	Set stop order (10 cents below entry)
Control+Z	Sell full position at Bid
Control+X	Sell half position at Bid
Control+P	Set profit target order

The specific hotkeys vary by platform. The principle is the same: instant execution without clicking through order dialogs. Set these up BEFORE you start trading.

15. RULES, REGULATIONS & ACCOUNT SETUP

Pattern Day Trader (PDT) Rule

In the US, if you make 4+ day trades in 5 business days with a margin account, you're classified as a Pattern Day Trader. PDT requirement: \$25,000 minimum account balance at all times. Without \$25k, you're limited to 3 day trades per rolling 5-business-day period.

Workarounds: Use a cash account (no PDT rule, but must wait for settlement). Use an offshore broker. Start with \$25k if possible.

Account Size Recommendations

- \$1,000-\$3,000: Very limited. 3 trades/week. Focus on learning in a simulator first.
- \$3,000-\$5,000: Workable. Can trade 3 times/week. Focus on base hits.
- \$5,000-\$10,000: Good starting point. Daily goal: \$200-\$500.
- \$25,000+: Unrestricted trading. Daily goal: \$500-\$2,000+.

Business Structure

Treat trading as a business from day one: track expenses, set goals, keep logs. Consider forming an LLC or S-Corp for tax benefits (consult a tax professional). Day trading profits are taxed as short-term capital gains (your ordinary income tax rate).

16. SMALL ACCOUNT STRATEGY (\$1,000-\$5,000)

Ross has done multiple "small account challenges" growing \$583 to \$10M+ in verified profits.

His approach for small accounts:

- Be extremely selective: only the best A+ setups. No B-quality trades.
- Use 95% of buying power per trade (all-in on conviction plays).
- Target 5-15% daily return on account (e.g., \$50-\$150/day on \$1,000).
- Risk \$25-\$50 per trade maximum (preserve capital).
- Start with 1,000 shares. Cap at 5,000 shares until you make your first \$1,000.
- Scale up only after proving consistent profitability.
- Compound: \$1,000 making 5%/day = \$50/day = \$250/week = \$1,000/month.

17. TRADE EXAMPLES (WINNING & LOSING)

These examples illustrate how the strategy plays out in real trades, using specifics referenced in Ross's videos. They show both the mechanics and the decision-making process.

WINNING TRADE: VVPR Micro-Pullback (Pre-Market)

Setup: VVPR appeared on the scanner at 7:30 AM. Price: \$5.23. Up 18% pre-market. Relative volume: 8x average. Float: 7 million shares. News: FDA catalyst.

Chart: Stock squeezed from \$4.50 to \$5.30 on high volume (flagpole). Pulled back for 2 candles to \$5.22 on light volume (flag). Volume on pullback candles was less than half the volume on the up candles.

Entry: \$5.30 (first candle to break the prior high of \$5.30). Limit order at the ask. Confirmed on Level 2: no major sellers blocking \$5.30-\$5.50. Time & Sales showed green prints.

Stop: \$5.20 (low of the pullback, 10 cents below entry). Risk: 10 cents/share.

Position: 2,000 shares. Max risk = 2,000 x \$0.10 = \$200.

Exit: Sold 1,000 shares at \$5.50 (20 cents profit = \$200, 2:1 risk/reward). Moved stop to breakeven on remaining 1,000 shares. Sold remaining 1,000 at \$5.75 (45 cents profit = \$450).

Result: Total profit: \$650. Time in trade: ~8 minutes.

Why it worked: All 5 Pillars met. Clean bull flag on 1-min chart. Light volume pullback. Level 2 confirmed no resistance. Entered at exact breakout level. Scaled out properly.

WINNING TRADE: LGVN Dip Buy at Psychological Level

Setup: LGVN was on the scanner. Already up 35% on the day. Price at \$4.45 after pulling back from \$4.60. Float: 4 million. News: contract announcement. Relative volume: 12x.

Chart: Stock had run from \$3.20 to \$4.60, pulled back to \$4.45. Price was holding above the 9 EMA on the 1-min chart. MACD was open (above signal line). Volume on pullback was light.

Entry: Starter position of 1,000 shares at \$4.50 (half-dollar psychological support). Added 1,000 shares at \$4.61 when first candle made new high. Total: 2,000 shares, avg \$4.555.

Stop: \$4.40 (low of the dip). Risk: ~15 cents/share average.

Exit: Sold 1,000 at \$4.85 (30 cents profit). Sold remaining 1,000 at \$5.05 when it broke the \$5.00 whole-dollar level and stalled.

Result: Total profit: \$595. Entered on dip, scaled in, scaled out at resistance levels.

WINNING TRADE: GXAI Small Account Scalp

Setup: Account size: \$1,181. GXAI was up 22% pre-market. Price: \$6.48. Float: 3M. News: earnings.

Entry: Bought 123 shares at \$6.48 (used 95% of buying power). Micro-pullback entry on 1-min chart.

Stop: \$6.35 (13 cents below entry). Max risk: \$16.

Exit: Sold at \$7.96 when momentum stalled. Profit: \$1.48/share.

Result: Profit: \$419.55 (35% account return in one trade). This shows the power of small accounts on low-float momentum stocks.

LOSING TRADE: Chasing a Short Squeeze at the Top

Setup: Stock had run from \$4 to \$48 over 2 days (short squeeze, up 1,100%). Beginner buys at \$48 because "it's still squeezing."

The Mistake: Entered at \$48 near the absolute top. No pullback setup. No bull flag. Just FOMO (fear of missing out). Level 2 showed massive sellers stacking up. Spread was 50+ cents wide.

What Happened: Stock immediately reversed. Dropped \$9 in minutes. Held hoping for a bounce instead of cutting the loss. Eventually stopped out for \$9,000 loss.

Rules Broken:

- No valid pattern (chased, didn't wait for pullback).
- Ignored Level 2 (massive sellers were visible).
- Wide spread (50+ cents = impossible risk management).
- Held loser hoping for bounce instead of cutting immediately.
- Position too large for the volatility (used normal share size on a \$48 stock swinging \$2-\$3 per candle).

Correct Approach: Wait for the stock to pull back and form a pattern (bull flag, ABCD). If the stock has already moved 1,100%, the easy money is made. Only trade if a clean setup appears with a tight stop.

LOSING TRADE: Ignoring the Green-to-Red Rule

Setup: Trader is up \$300 on the day after 2 morning trades. Sees a third setup that's B-quality (meets 4 of 5 Pillars but float is higher than ideal at 25M).

Trade 3: Enters with 2,000 shares. Stock immediately goes against them. Stop was 15 cents below. Loss: \$300. Now flat on the day (gave back all morning profits).

The Spiral: Instead of stopping (Green-to-Red rule), trader takes a 4th trade to "make it back." Increases size to 3,000 shares. Loses another \$400. Now down \$400 on the day. Takes a 5th trade. Loses \$250. Down \$650. Day that started at +\$300 ends at -\$650.

Rules Broken:

- Traded a B-quality setup (Rule 4: only A+ setups).

- Didn't stop after Green-to-Red (Rule 2).
- Increased position size while losing (should have sized DOWN).
- Revenge traded (Rule: no revenge trading after a loss).

Correct Approach: After trade 3 wiped out the \$300 profit and pushed to red on the day, STOP TRADING. Walk away. Come back tomorrow. The \$300 loss is manageable. The \$650 loss from revenge trading is the real damage.

18. QUICK REFERENCE CHEAT SHEET

Pre-Trade Checklist

- Price \$2-\$20? (sweet spot \$5-\$15)
- Up 10%+ on the day?
- Relative volume 5x+? (10x+ preferred)
- Float under 20M? (under 10M preferred)
- News catalyst identified?
- Pullback volume lighter than up-move volume?
- Level 2 clear of major sellers at breakout level?
- Time is 7:00-11:30 AM EST?
- Risk/reward is at least 2:1?
- Position sized to max 2-3% account risk?

Entry Rules

- Enter on break of pullback high (to the penny). Don't wait for candle close.
- Use limit orders with 10-15 cent slippage allowance.
- Confirm with Level 2 (no wall) and Tape (green prints).
- Use 1-minute chart for fast movers, 5-minute for cleaner patterns.

Exit Rules

- Stop at low of pullback (set immediately via hotkey on entry).
- Sell half at 2:1 profit target.
- Move stop to breakeven on remaining half.
- Exit on first candle making new low, topping tails, or doji at top.
- Exit if Level 2 shows new large seller.

Daily Rules

- Max daily loss = daily goal amount. Hit it = done for the day.
- Green to Red = STOP TRADING.
- Give back half of daily goal = STOP TRADING.
- After 3 consecutive losses = reduce size by 50%.
- Cap at 5,000 shares until first \$1,000 profit.
- Prime window: 9:30-11:30 AM. After noon: generally stop.

Key Numbers

Metric	Value
Base hit profit target	15-25 cents/share
Average winner	~15 cents/share
Average loser	~10-12 cents/share
Win rate target	65-75% (50% minimum)

Risk per trade	2-3% of account
Max daily loss	Equal to daily profit goal
Stop loss (standard)	10 cents below entry
Stop loss (scalping)	10-15 cents, hard stop
Min risk/reward	2:1
Trading window	7:00-11:00 AM EST

Document synthesized from analysis of 75+ Ross Cameron day trading video transcripts. Prepared as a strategy reference for personal mastery and trading app development. Last updated: February 2026.